Lawsuit Challenges Trump's Tariffs on Canadian Goods

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A **lawsuit** filed Tuesday in the U.S. Court of International Trade challenges President Donald Trump's **tariffs** on goods from Canada. A tariff is a tax on products brought in from another country.

The case was filed by the Liberty Justice Center, a **nonprofit** group, for Gellert Global Group, an American company that **imports** food. The **lawsuit** argues that Trump went beyond his powers as president by using a trade law from 1930 called Section 338.

Trump used Section 338 to put a 50% tax on many Canadian goods after trade talks broke down in August. The next month, the same law was used to ban some other Canadian products, including motorcycles and some alcohol and dairy products.

The White House says Section 338 lets the president add **tariffs** when a country treats U.S. sellers unfairly compared with sellers from other countries, even though the law has never been used that way before. A Trump administration official said the president's actions will be strongly defended in court.

The **lawsuit** says Canada's policies do not **justify** such large **tariffs**. It points out that some Canadian measures were responses to Trump's own **tariffs**. It also says Canada's dairy rules were agreed to in a trade deal between Canada, the United States and Mexico.

Sara Albrecht, who leads the Liberty Justice Center, said the **tariffs** affect not only importers but also shoppers in both countries.

Gellert says the trade fight hurts it from both sides. It pays a 50% tariff on Canadian cheese, and Canada taxes the American cheese its Canadian branch sells. One of its suppliers makes brie in Canada using milk from farms in New York, then ships the cheese back to the United States.

Word Treasure

lawsuit -- A case brought to a court asking a judge to decide a disagreement.

tariffs -- Taxes on goods brought in from another country.

nonprofit -- An organization that works for a cause instead of to make money for owners.

imports -- Brings in goods from another country to sell.

justify -- To give a good enough reason for something.

Background you need

A tariff is a tax a country charges on goods that come in from other countries, which can make those goods cost more.

The United States and Canada are close neighbors and trade huge amounts of goods, including food, with each other.

Congress has passed trade laws that give the president some power over tariffs, and courts can decide whether a president has used those powers correctly.

The U.S. Court of International Trade is a special federal court that hears cases about tariffs and trade.

Break it down

LEAD: A lawsuit challenges Trump's tariffs on Canadian goods
KEY EVENT: Case filed Tuesday in the U.S. Court of International Trade
+- WHO: Liberty Justice Center for food importer Gellert Global Group
+- CLAIM: Using the 1930 Section 338 law went beyond presidential power
BACKGROUND: 50% tariffs after August talks broke down; some Canadian products later banned
OTHER SIDE: The White House says the law allows tariffs; the administration will defend them in court
EVIDENCE: Gellert pays tariffs both ways on cheese; a supplier uses New York milk for brie made in Canada
OPEN QUESTION: Will the court decide the president had the power to use Section 338 this way?

Why it matters

The case could help decide how much power a president has to set tariffs on his own, which affects prices and businesses in both the U.S. and Canada.

Test what you remember

1. In which court was the lawsuit filed?

- (A) The U.S. Supreme Court
- (B) A Canadian court
- (C) A New York state court
- (D) The U.S. Court of International Trade

2. What is a tariff?

- (A) A trade agreement
- (B) A tax on products brought in from another country
- (C) A type of cheese
- (D) A ban on all trade

3. Which law does the lawsuit say Trump used beyond his powers?

- (A) The Constitution's First Amendment
- (B) A 2024 tax law
- (C) Section 338, a trade law from 1930
- (D) The Paris Agreement

4. How large was the tax Trump put on many Canadian goods?

- (A) 15%
- (B) 25%
- (C) 50%
- (D) 5%

5. What did a Trump administration official say about the lawsuit?

- (A) Canada will pay the tax
- (B) The tariffs will be removed
- (C) The president's actions will be strongly defended in court
- (D) The law will be changed

6. Why does Gellert say the trade fight hurts it from both sides?

- (A) It lost its factory in New York
- (B) It must stop selling motorcycles
- (C) It pays U.S. tariffs on Canadian cheese and Canada taxes the American cheese its Canadian branch sells
- (D) It cannot hire workers

Answer key (try the quiz first!): 1: D 2: B 3: C 4: C 5: C 6: C

Questions to think about

1. Liberty Justice Center and Gellert: The tariffs go beyond the president's powers, are not justified by Canada's policies and hurt importers and shoppers in both countries.

2. White House and Trump administration: Section 338 lets the president add tariffs when a country treats U.S. sellers unfairly, and the actions will be strongly defended in court.

MY THOUGHTS (at least 20 words):